

Executive Memo

MEMORANDUM

TO: Head of E-commerce Operations / Sales Director

FROM: Alexandros Miteloudis, Data Analyst

DATE: July 13, 2026

SUBJECT: Online Retail Sales Performance: Product Concentration, Customer Loyalty, and Market Opportunities

1. Executive Summary

An analysis of our online retail transaction data reveals a highly concentrated revenue model driven by a small fraction of top-performing products and a loyal base of repeat customers. While the United Kingdom remains our dominant market, niche international markets like Australia show high per-customer value, representing a premium growth opportunity. Furthermore, a significant seasonal revenue peak occurs in November, aligning with pre-Christmas and Black Friday demand.

2. The Business Objective

The goal of this analysis was to evaluate overall sales performance, identify our most profitable products and customer segments, assess geographic market strength, and uncover actionable opportunities to optimize inventory, marketing, and customer retention strategies.

3. Key Findings

- **Extreme Product Concentration (The Pareto Principle):** Out of 3,922 distinct products, the top 30 best-selling items (just 0.76% of our catalog) generate approximately 18.5% of our total revenue (€2.26M out of €12.24M). Conversely, the long tail of low-selling products contributes minimally to the bottom line.
- **Strong Customer Loyalty:** Of our 4,338 identified customers, 65% (2,846) are repeat buyers who have made multiple purchases. These regular customers are responsible for the vast majority of our high-value invoices, while one-time buyers typically generate significantly lower individual revenue.
- **Geographic Dominance & Premium Niches:** The United Kingdom is our core market, accounting for the overwhelming majority of both total revenue (€10.35M) and customer count (3,920). However, Australia, despite having only 9

identified customers, ranks 6th in total country revenue, indicating a highly lucrative, premium customer base.

- Seasonal Peaks & Data Caveats: Revenue shows a strong upward trend starting in August 2011, peaking significantly in November (driven by Black Friday/pre-Christmas demand). Note: December 2011 data is incomplete (ending on Dec 9th) and should be excluded from month-over-month growth comparisons.
- Data Quality Gap: A notable portion of high-value invoices are associated with "NULL" Customer IDs, suggesting a large volume of guest checkouts that are currently invisible to our customer retention tracking.

4. Actionable Recommendations

Based on these insights, I recommend the following immediate actions:

1. Double Down on Top SKUs: Prioritize inventory availability, prime website placement, and targeted marketing for the top 30 revenue-generating products (e.g., Regency Cakestand 3 Tier, Paper Craft Little Birdie etc.).
2. Launch a "One-Time Buyer" Reactivation Campaign: Implement automated email reach-out or targeted discount strategies for the 35% of customers who have only purchased once, with a focus on converting them into repeat buyers.
3. Develop a Premium Market Strategy for Australia: Investigate the buying behavior of the Australian market. Consider tailored B2B outreach or premium shipping options to capitalize on this high-value, low-volume segment.
4. Improve Guest Checkout Tracking: Work with the web development team to encourage account creation at checkout or implement better cookie/session tracking to reduce the volume of "NULL" Customer IDs and capture this valuable data.

5. Next Steps & Resources

The full interactive dashboard has been built to allow the sales and marketing teams to drill down into these metrics by date, country, and specific product.

- View Interactive Dashboard: [Online Retail Dataset Analysis Dashboard - Power BI](#)
- View Data & Methodology: https://github.com/AlexandrosMiteloudis/Online_Retail_Data_Analysis_-Python-SQL-